Meezan Bank Limited
Capital Adequacy, Leverage ratio & Liquidity requirements disclosures - Unconsolidated
As at December 31, 2025

1. CAPITAL ADEQUACY

1.1 The State Bank of Pakistan (SBP) introduced guidelines with respect to disclosure of capital adequacy related information in the financial statements of banks vide its communication dated November 5, 2014. These guidelines are based on the requirements of Basel III which were introduced earlier by the SBP in August 2013 for implementation by banks in Pakistan. The disclosures below have been prepared on the basis of these new guidelines. The comparative information is as per requirements which were applicable last year.

The Bank's capital adequacy is reported using the rules and ratios provided by the State Bank of Pakistan.The capital adequacy ratio is a measure of the amount of a Bank's capital expressed as a percentage of its risk weighted assets (RWAs). Banking operations are categorized as either Trading Book or Banking Book and RWAs are determined according to specific treatments as per the requirements of SBP that measure the varying levels of risk attached to on balance sheet and off-balance sheet exposures.Under the current capital adequacy regulations, credit risk and market risk exposures are measured using the Standardized Approach and operational risk is measured using the Basic Indicator Approach. Credit risk mitigants are also applied against the Bank's exposures based on eligible collateral.

In implementing current capital requirements the State Bank of Pakistan requires all banks to maintain minimum Capital Adequacy Ratio (CAR) of 11.50% (on Standalone & Consolidated basis) as of December 31, 2025 whereas MBL's standalone CAR stood at 19.20% as of December 31, 2025.

1.3 Capital Adequacy Ratio (CAR) disclosure:

Particulars	2025	2024
	------------- Rupees in '000	-------------
Common Equity Tier 1 capital (CET1): Instruments and reserves		
Fully paid-up capital / capital deposited with the SBP	18,005,546	17,947,407
Balance in share premium account	3,879,234	3,104,253
Reserve for issue of bonus shares	-	-
Discount on issue of shares	-	-
General / Statutory Reserves	54,081,214	44,898,014
Gain / (Losses) on derivatives held as Cash Flow Hedge	-	-
Unappropriated profits	188,911,019	158,893,426
Minority Interests arising from CET1 capital instruments issued to third party by consolidated	-	-
bank subsidiaries (amount allowed in CET1 capital of the consolidation group)	-	-
CET 1 before Regulatory Adjustments	264,877,013	224,843,100
Total regulatory adjustments applied to CET1	(3,718,013)	(3,039,023)
Common Equity Tier 1	261,159,000	221,804,077
Additional Tier 1 (AT 1) Capital		
Qualifying Additional Tier-1 capital instruments plus any related share premium	-	-
of which:		
- classified as equity		
- classified as liabilities	7,000,000	7,000,000
Additional Tier-1 capital instruments issued by consolidated subsidiaries and held by third parties		
- of which: instrument issued by subsidiaries subject to phase out	-	-
AT1 before regulatory adjustments	7,000,000	7,000,000
Total of Regulatory Adjustment applied to AT1 capital	-	-
Additional Tier 1 capital after regulatory adjustments	7,000,000	7,000,000
Tier 1 Capital (CET1 + admissible AT1)	268,159,000	228,804,077
Tier 2 Capital		
Qualifying Tier 2 capital instruments under Basel III plus any related share premium	9,990,000	13,990,000
Capital instruments subject to phase out arrangement issued	-	-
Tier 2 capital instruments issued to third parties by consolidated subsidiaries	-	-
- of which: instruments issued by subsidiaries subject to phase out	-	-
General Provisions or general reserves for loan losses-up to maximum of 1.25% of Credit Risk Weighted Assets	12,306,329	11,004,047
Revaluation Reserves (net of taxes)	-	-
of which:		
- Revaluation reserves on fixed assets	-	-
- Unrealized gains/losses on AFS	14,380,110	22,141,192
Foreign Exchange Translation Reserves	-	-
Undisclosed/Other Reserves (if any)	-	-
T2 before regulatory adjustments	36,676,439	47,135,239
Total regulatory adjustment applied to T2 capital	-	-
Tier 2 capital (T2) after regulatory adjustments	36,676,439	47,135,239
Tier 2 capital recognized for capital adequacy	36,676,439	47,135,239
Portion of Additional Tier 1 capital recognized in Tier 2 capital	-	-
Total Tier 2 capital admissible for capital adequacy	36,676,439	47,135,239
TOTAL CAPITAL (T1 + admissible T2)	304,835,440	275,939,316
Total Risk Weighted Assets (RWA)	1,587,984,328	1,355,844,682

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Particulars	2025 Amount	2024 Amount
	------------- Rupees in '000 -------------	
Capital Ratios and buffers (in percentage of risk weighted assets)		
CET1 to total RWA	16.45%	16.36%
Tier-1 capital to total RWA	16.89%	16.88%
Total capital to total RWA	19.20%	20.35%
Bank specific buffer requirement (minimum CET1 requirement plus capital conservation buffer plus any other buffer requirement) of which:	7.50%	7.50%
- capital conservation buffer requirement	1.50%	1.50%
- countercyclical buffer requirement	-	-
- D-SIB or G-SIB buffer requirement	0.0%	0.0%
CET1 available to meet buffers (as a percentage of risk weighted assets)	10.45%	10.36%
National minimum capital requirements prescribed by SBP		
CET1 minimum ratio	6.00%	6.00%
Tier 1 minimum ratio	7.50%	7.50%
Total capital minimum ratio	10.00%	10.00%
CCB (Consisting of CET 1 only)	1.50%	1.50%
Total Capital plus CCB	11.50%	11.50%

	Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
		-------------------------- Rupees in '000 --------------------------			
1.3.1	**Common Equity Tier 1 capital: Regulatory adjustments**				
	Goodwill (net of related deferred tax liability)	-	-	-	-
	All other intangibles (net of any associated deferred tax liability)	3,429,762	-	2,896,880	-
	Shortfall of provisions against classified assets	-	-	-	-
	Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)	-	-	-	-
	Defined-benefit pension fund net assets	-	-	-	-
	Reciprocal cross holdings in CET1 capital instruments	-	-	-	-
	Cash flow hedge reserve	-	-	-	-
	Investment in own shares / CET1 instruments	288,251	-	142,143	-
	Securitization gain on sale	-	-	-	-
	Capital shortfall of regulated subsidiaries	-	-	-	-
	Deficit on account of revaluation from bank's holdings of property / AFS	-	-	-	-
	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
	Significant investments in the common stocks of banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)	-	-	-	-
	Deferred Tax Assets arising from temporary differences (amount above 10% threshold, net of related tax liability)	-	-	-	-
	Amount exceeding 15% threshold of which:				
	- significant investments in the common stocks of financial entities	-	-	-	-
	- deferred tax assets arising from temporary differences	-	-	-	-
	National specific regulatory adjustments applied to CET1 capital	-	-	-	-
	Investment in TFCs of other banks exceeding the prescribed limit	-	-	-	-
	Any other deduction specified by SBP	-	-	-	-
	Regulatory adjustment applied to CET1 due to insufficient AT1 and Tier 2 to cover deductions	-	-	-	-
	Total regulatory adjustments applied to CET1	**3,718,013**	**-**	**3,039,023**	**-**
1.3.2	**Additional Tier 1 Capital: regulatory adjustments**				
	Investment in mutual funds exceeding the prescribed limit (SBP specific adjustment)	-	-	-	-
	Investment in own AT1 capital instruments	-	-	-	-
	Reciprocal cross holdings in Additional Tier 1 capital instruments	-	-	-	-

* This column highlights items that are still subject to Pre Basel III treatment during the transitional period

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Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
	------------------------- Rupees in '000 -------------------------			
Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-	-	-
Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-1 capital	-	-	-	-
Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions				
Total of Regulatory Adjustment applied to AT1 capital	-	-	-	-

1.3.3 Tier 2 Capital: regulatory adjustments

Particulars	2025 Amount	2025 Pre-Basel III treatment*	2024 Amount	2024 Pre-Basel III treatment*
Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-2 capital	-	-	-	-
Reciprocal cross holdings in Tier 2 instruments	-	-	-	-
Investment in own Tier 2 capital instrument	-	-	-	-
Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)	-	-	-	-
Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation	-	-	-	-
Amount of Regulatory Adjustment applied to T2 capital	-	-	-	-

* This column highlights items that are still subject to Pre Basel III treatment during the transitional period

1.3.4 Additional Information - Risk Weighted Assets subject to pre-Basel III treatment

Particulars	2025	2024
	------------- Rupees in '000 -------------	
Risk weighted assets in respect of deduction items (which during the transitional period will be risk weighted subject to Pre-Basel III Treatment)	-	-
of which: deferred tax assets	-	-
of which: Defined-benefit pension fund net assets	-	-
of which: Recognized portion of investment in capital of banking, financial and insurance entities where holding is less than 10% of the issued common share capital of the entity	-	-
of which: Recognized portion of investment in capital of banking, financial and insurance entities where holding is more than 10% of the issued common share capital of the entity	-	-
Amounts below the thresholds for deduction (before risk weighting)		
Non-significant investments in the capital of other financial entities	997,525	1,043,775
Significant investments in the common stock of financial entities	1,063,050	1,063,050
Deferred tax assets arising from temporary differences (net of related tax liability)	-	-
Applicable caps on the inclusion of provisions in Tier 2		
Provisions eligible for inclusion in Tier 2 in respect of exposures subject to standardized approach (prior to application of cap)	19,057,687	17,721,304
Cap on inclusion of provisions in Tier 2 under standardized approach	12,306,329	11,004,047
Provisions eligible for inclusion in Tier 2 in respect of exposures subject to internal ratings-based approach (prior to application of cap)	-	-
Cap for inclusion of provisions in Tier 2 under internal ratings-based approach	-	-

1.4 Capital Structure Reconciliation

Reconciliation of each financial statement line item to item under regulatory scope of reporting - Step 1

Particulars	Balance sheet as in published financial statements	Under regulatory scope of reporting
	As at Dec 31, 2025	
	----------------(Rupees in '000)-------------	
Assets		
Cash and balances with treasury banks	330,542,818	330,542,818
Balances with other banks	15,388,174	15,388,174
Due from financial institutions	12,325,225	12,325,225
Investments	2,596,837,140	2,596,837,140
Islamic financing and related assets	1,640,934,798	1,640,934,798
Property and equipment	50,038,251	50,038,251
Right-of-use assets	21,777,193	21,777,193
Intangible assets	3,429,762	3,429,762
Deferred tax assets	-	-
Other assets	135,287,558	135,287,558
Total assets	**4,806,560,919**	**4,806,560,919**
Liabilities and Equity		
Bills payable	73,767,955	73,767,955
Due to financial institutions	887,048,227	887,048,227
Deposits and other accounts	3,302,842,200	3,302,842,200
Lease liability against right-of-use assets	28,428,316	28,428,316
Sub-ordinated sukuk	16,990,000	16,990,000
Deferred tax liabilities	1,654,497	1,654,497
Other liabilities	216,572,601	216,572,601
Total liabilities	**4,527,303,796**	**4,527,303,796**
Share capital	18,005,546	18,005,546
Reserves	57,960,448	57,960,448
Unappropriated profit	188,911,019	188,911,019
Minority Interest	-	-
Surplus on revaluation of assets - net of tax	14,380,110	14,380,110
Total liabilities and equity	**4,806,560,919**	**4,806,560,919**

Reconciliation of balance sheet to eligible regulatory capital - Step 2

Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
		As at Dec 31, 2025	
		----------------(Rupees in '000)-------------	
Assets			
Cash and balances with treasury banks		**330,542,818**	**330,542,818**
Balances with other banks		**15,388,174**	**15,388,174**
Due from financial institutions		**12,325,225**	**12,325,225**

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Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
		As at Dec 31, 2025	
		----------------(Rupees in '000)-------------	
Investments		**2,596,837,140**	**2,596,837,140**
of which:			
- *non-significant capital investments in capital of other financial institutions exceeding 10% threshold*	a	-	-
- *significant capital investments in financial sector entities exceeding regulatory threshold*	b	-	-
- *mutual Funds exceeding regulatory threshold*	c	-	-
- *reciprocal crossholding of capital instrument*	d	-	-
- *others*	e	288,251	288,251
Islamic financing and related assets		**1,640,934,798**	**1,640,934,798**
- *shortfall in provisions / excess of total EL amount over eligible provisions under IRB*	f	-	-
- *general provisions reflected in Tier 2 capital*	g	19,057,687	12,306,329
Property and equipment		**50,038,251**	**50,038,251**
Right-of-use assets		**21,777,193**	**21,777,193**
Intangible assets	h	**3,429,762**	**3,429,762**
Deferred tax assets		**-**	**-**
of which:			
- *DTAs that rely on future profitability excluding those arising from temporary differences*	i	-	-
- *DTAs arising from temporary differences exceeding regulatory threshol*	j	-	-
Other assets		**135,287,558**	**135,287,558**
of which:			
- *goodwill*	k	-	-
- *defined-benefit pension fund net assets*	l	-	-
Total assets		**4,806,560,919**	**4,806,560,919**
Liabilities and Equity			
Bills payable		73,767,955	73,767,955
Due from financial institutions		887,048,227	887,048,227
Deposits and other accounts		3,302,842,200	3,302,842,200
Lease liability against right-of-use assets		28,428,316	28,428,316
Sub-ordinated sukuk of which:		16,990,000	16,990,000
- *eligible for inclusion in AT1*	m	7,000,000	7,000,000
- *eligible for inclusion in Tier 2*	n	9,990,000	9,990,000
Liabilities against assets subject to finance lease			
Deferred tax liabilities of which:		1,654,497	1,654,497
- *DTLs related to goodwill*	o	-	-
- *DTLs related to intangible assets*	p	-	-
- *DTLs related to defined pension fund net assets*	q	-	-
- *other deferred tax liabilities*	r	-	-
Other liabilities		216,572,601	216,572,601
Total liabilities		**4,527,303,796**	**4,527,303,796**

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Particulars	Reference	Balance sheet as in published financial statements	Under regulatory scope of reporting
		As at Dec 31, 2025	
		----------------(Rupees in '000)-------------	
Share capital		18,005,546	18,005,546
- *of which: amount eligible for CET1*	s	18,005,546	18,005,546
- *of which: amount eligible for AT1*	t	-	-
Reserves of which:		57,960,448	57,960,448
- *portion eligible for inclusion in CET1 - Share premium*		3,879,234	3,879,234
- *portion eligible for inclusion in CET1 - Statutory reserve*		49,671,959	49,671,959
- *portion eligible for inclusion in CET1 - Gain on Bargain Purchase*	u	3,117,547	3,117,547
- *portion eligible for inclusion in CET1 -Employee Share option*		1,224,942	1,224,942
- *portion eligible for inclusion in CET1 - General reserve*		66,766	66,766
- *portion eligible for inclusion in Tier 2 General reserve*	v	-	-
Unappropriated profit	w	188,911,019	188,911,019
Minority Interest of which:			
- *portion eligible for inclusion in CET1*	x	-	-
- *portion eligible for inclusion in AT1*	y	-	-
- *portion eligible for inclusion in Tier 2*	z	-	-
Surplus on revaluation of assets of which:		14,380,110	14,380,110
- *Revaluation reserves on Property*			
- *Unrealized Gains/Losses on AFS*	aa	14,380,110	14,380,110
- *Unrealized Gains/Losses on Non-Banking Assets*	ab	-	-
- *In case of Deficit on revaluation (deduction from CET1)*		-	-
Total liabilities and Equity		**4,806,560,919**	**4,806,560,919**

Basel III Disclosure (with added column) - Step 3

	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
			(Rupees in '000)
	Common Equity Tier 1 capital (CET1): Instruments and reserves		
1	Fully Paid-up Capital	(s)	18,005,546
2	Balance in share premium account		3,879,234
3	Reserve for issue of bonus shares		-
4	General / Statutory Reserves	(u)	54,081,214
5	Gain / (Losses) on derivatives held as Cash Flow Hedge		-
6	Unappropriated / unremitted profits	(w)	188,911,019
7	Minority Interests arising from CET1 capital instruments issued to third party by consolidated bank subsidiaries (amount allowed in CET1 capital of the consolidation group)		-
8	**CET 1 before Regulatory Adjustments**		**264,877,013**
	Common Equity Tier 1 capital: Regulatory adjustments		
9	Goodwill (net of related deferred tax liability)		-
10	All other intangibles (net of any associated deferred tax liability)	(h)	3,429,762
11	Shortfall of provisions against classified assets		-
12	Deferred tax assets that rely on future profitability excluding those arising from temporary differences (net of related tax liability)		-
13	Defined-benefit pension fund net assets		-
14	Reciprocal cross holdings in CET1 capital instruments	(d)	-
15	Cash flow hedge reserve		-
16	Investment in own shares / CET1 instruments	(e)	288,251

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	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
			(Rupees in '000)
17	Securitization gain on sale		-
18	Capital shortfall of regulated subsidiaries		-
19	Deficit on account of revaluation from bank's holdings of property / AFS		-
20	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
21	Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation (amount above 10% threshold)		-
22	Deferred Tax Assets arising from temporary differences (amount above 10% threshold, net of related tax liability)		-
23	Amount exceeding 15% threshold of which:		
	- significant investments in the common stocks of financial entities		-
	- deferred tax assets arising from temporary differences		-
24	National specific regulatory adjustments applied to CET1 capital		-
25	Investment in TFCs of other banks exceeding the prescribed limit		-
26	Any other deduction specified by SBP (mention details)		-
27	Regulatory adjustment applied to CET1 due to insufficient AT1 and Tier 2 to cover deductions		-
28	Total regulatory adjustments applied to CET1		3,718,013
	Common Equity Tier 1		**261,159,000**
	Additional Tier 1 (AT 1) Capital		
29	Qualifying Additional Tier-1 instruments plus any related share premium		7,000,000
	of which:		
30	- Classified as equity	(m)	7,000,000
31	- Classified as liabilities		
32	Additional Tier-1 capital instruments issued by consolidated subsidiaries and held by third parties		-
33	- of which: instrument issued by subsidiaries subject to phase out		
34	**AT1 before regulatory adjustments**		**7,000,000**
	Additional Tier 1 Capital: regulatory adjustments		
35	Investment in mutual funds exceeding the prescribed limit (SBP specific adjustment)		-
36	Investment in own AT1 capital instruments		-
37	Reciprocal cross holdings in Additional Tier 1 capital instruments		-
38	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
39	Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation		-
40	Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-1 capital		-
41	Regulatory adjustments applied to Additional Tier 1 due to insufficient Tier 2 to cover deductions		-
42	Total of Regulatory Adjustment applied to AT1 capital		-
43	Additional Tier 1 capital		7,000,000
44	**Additional Tier 1 capital recognised for capital adequacy**		**7,000,000**
	Tier 1 Capital (CET1 + admissible AT1)		**268,159,000**

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	Particulars	Source based on reference number from step 2	Component of regulatory capital reported by bank
			(Rupees in '000)
	Tier 2 Capital		
45	Qualifying Tier 2 capital instruments under Basel III	(n)	9,990,000
46	Capital instruments subject to phase out arrangement from Tier 2		-
47	Tier 2 capital instruments issued to third party by consolidated subsidiaries		-
	- of which: instruments issued by subsidiaries subject to phase out		-
48	General Provisions or general reserves for loan losses-up to maximum		-
	of 1.25% of Credit Risk Weighted Assets	(g)	12,306,329
49	Revaluation Reserves eligible for Tier 2 of which:		-
50	- portion pertaining to Property		-
51	- portion pertaining to AFS securities	(aa)	14,380,110
52	Foreign Exchange Translation Reserves		-
53	Undisclosed / Other Reserves (if any)		-
54	**T2 before regulatory adjustments**		**36,676,439**
	Tier 2 Capital: regulatory adjustments		
55	Portion of deduction applied 50:50 to core capital and supplementary capital based on pre-Basel III treatment which, during transitional period, remain subject to deduction from tier-2 capital		-
56	Reciprocal cross holdings in Tier 2 instruments		-
57	Investment in own Tier 2 capital instrument		-
58	Investments in the capital instruments of banking, financial and insurance entities that are outside the scope of regulatory consolidation, where the bank does not own more than 10% of the issued share capital (amount above 10% threshold)		-
59	Significant investments in the capital instruments issued by banking, financial and insurance entities that are outside the scope of regulatory consolidation		-
60	Amount of Regulatory Adjustment applied to T2 capital		-
61	Tier 2 capital (T2)		36,676,439
62	Tier 2 capital recognised for capital adequacy		36,676,439
63	Excess Additional Tier 1 capital recognised in Tier 2 capital		-
64	Total Tier 2 capital admissible for capital adequacy		36,676,439
	TOTAL CAPITAL (T1 + admissible T2)		**304,835,440**

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1.6 Risk-weighted exposures

	Capital requirements		Risk weighted assets	
	2025	**2024**	**2025**	**2024**
Credit Risk	--------------------------(Rupees in '000)--------------------------			
Portfolios subject to on-balance sheet exposure (Simple Approach)				
Cash and cash equivalents	-	-	-	-
Sovereign	510,547	209,813	5,105,471	2,098,132
Public sector entities	5,879,841	5,114,473	58,798,409	51,144,730
Banks	851,155	504,866	8,511,548	5,048,661
Corporate	63,618,581	57,550,617	636,185,808	575,506,173
Retail	5,195,477	5,281,874	51,954,768	52,818,739
Residential mortgage	845,322	709,226	8,453,215	7,092,257
Past due loans	394,431	154,379	3,944,309	1,543,792
Operating fixed assets	7,181,544	6,807,793	71,815,444	68,077,931
All other assets	1,743,455	1,807,409	17,434,553	18,074,086
Portfolios subject to off-balance sheet exposure - non market related (Simple approach)				
Banks	352,389	434,584	3,523,886	4,345,837
Corporate	8,770,133	7,250,466	87,701,330	72,504,658
Sovereign	1,314,824	-	13,148,240	-
Public sector entities	526,805	1,044,116	5,268,049	10,441,160
Retail	152,857	270,310	1,528,567	2,703,096
Others	269,703	170,463	2,697,030	1,704,631
Portfolios subject to off-balance sheet exposures - market related (Current exposure method)				
Banks	366,487	273,050	3,664,870	2,730,501
Customers	152,593	88,944	1,525,929	889,442
Equity Exposure Risk in the Banking Book				
Unlisted equity investments held in banking book	58,729	94,232	587,285	942,324
Recognised portion of significant investment	265,763	265,763	2,657,625	2,657,625
Market Risk				
Capital Requirement for portfolios subject to Standardised Approach				
Interest rate risk	2,395,414	741,671	29,942,678	9,270,891
Equity position risk	3,317,681	2,136,719	41,471,010	26,708,988
Foreign Exchange risk	271,986	32,905	3,399,823	411,318
Operational Risk				
Capital requirement for operational risk	42,293,158	35,130,377	528,664,481	439,129,711
TOTAL	**146,728,875**	**126,074,051**	**1,587,984,328**	**1,355,844,682**

Capital Adequacy Ratio	**Required**	**Actual**	**Required**	**Actual**
	December-25		**December-24**	
CET1 to total RWA *(including CCB & D-SIB buffer)* *	7.50%	**16.45%**	7.50%	**16.36%**
Tier-1 capital to total RWA	9.00%	**16.89%**	9.00%	**16.88%**
Total capital to total RWA	11.50%	**19.20%**	11.50%	**20.35%**

* Capital Conservation Buffer requirement (CCB) was reduced by 1.0% by SBP under COVID-19 Relief measures till further instructions.
In the latest assessment carried out by the SBP under the Framework for Domestic Systemically Important Banks (D-SIBs) introduced vide BPRD Circular No.04 of 2018 dated April 13, 2018, the Bank has been identified as a sample D-SIB.

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2 LEVERAGE RATIO

According to Basel III instructions issued by the State Bank of Pakistan (BPRD circular no. 06 dated August 15, 2013), it is mandatory for all the banks to calculate and report the Leverage Ratio on a quarterly basis with the minimum benchmark of 3%.

The reason for calculating leverage ratio is to avoid excessive On- and Off-balance sheet leverage in the banking system. A simple, transparent and non-risk based Ratio has been introduced with the following objectives:

- Constrain the build-up of leverage in the banking sector which can damage the broader financial system and the economy; and
- Reinforce the risk based requirements with an easy to understand and a non-risk based measure.

The Basel III leverage ratio is defined as the capital measure (the numerator) divided by the exposure measure (the denominator), with this ratio expressed as a percentage:

Leverage Ratio = $\dfrac{\text{Tier 1 capital (after related deductions)}}{\text{Total Exposure}}$

	Particulars	2025	2024
		---------- Rupees in '000 --------	
	On balance sheet exposures		
1	On-balance sheet items (excluding unrealised gain on forward contracts)	4,171,926,334	3,353,717,789
2	Forward exchange commitments with positive fair values	2,583,278	2,302,224
	Total on balance sheet exposures	**4,174,509,612**	**3,356,020,013**
	Off balance sheet exposures		
3	Off-balance sheet items	972,639,073	827,301,528
4	Commitment in respect of forward exchange contracts	4,160,653	3,012,134
	Total Off balance sheet exposures	**976,799,726**	**830,313,662**
	Capital and total exposures		
5	**Tier 1 capital**	**268,159,000**	**228,804,077**
6	**Total exposures**	**5,151,309,338**	**4,186,333,675**
	Basel III leverage ratio	**5.21%**	**5.47%**

3 LIQUIDITY COVERAGE RATIO

The Bank calculates the Liquidity Coverage Ratio (LCR) on monthly basis as per SBP Basel III Liquidity Standards issued under BPRD Circular No. 08 dated June 23, 2016. The objective of LCR is to promote the short-term resilience of the liquidity risk profile of the Bank and this standard requires the banks to maintain sufficient High Quality Liquid Assets (HQLAs) to meet stressed cash outflows over a prospective 30 calendar-days period.

Main drivers of LCR Results are High Quality Liquid Assets and Net cash outflows. Outflows are mainly deposit outflows net of cash inflows which consist of inflows from financing and money market placements up to 1 month. The inputs for calculation of LCR are as prescribed by the regulator.

	Liquidity Coverage Ratio	2025 Total Unweighted[1] Value (Average)	2025 Total Weighted[2] Value (Average)	2024 Total Unweighted[1] Value (Average)	2024 Total Weighted[2] Value (Average)
		--------(Rupees in '000)--------		--------(Rupees in '000)--------	
	High Quality Liquid Assets				
1	Total high quality liquid assets (HQLA)		**2,007,784,674**		**1,320,749,145**
	Cash Outlflows				
2	Retail deposits and deposits from small business cusmtomers of which:	**2,536,940,730**	**211,983,979**	**2,030,436,067**	**177,195,945**
	2.1) Stable deposit	**834,201,887**	**41,710,094**	**516,953,231**	**25,847,662**
	2.2) Less stable deposit	**1,702,738,843**	**170,273,884**	**1,513,482,836**	**151,348,284**
3	Unsecured wholesale funding of which:	**620,595,081**	**318,932,161**	**444,797,856**	**217,774,992**
	3.1) Operational deposits (all counterparties)	**620,595,081**	**318,932,161**	**444,797,856**	**217,774,992**
	3.2) Non-operational deposits (all counterparties)	-	-	-	-
	3.3) Unsecured debt	-	-	-	-
4	Secured wholesale funding	-		**193,630,317**	
5	Additional requirements of which:	**72,872,321**	**7,581,000**	**61,517,040**	**6,537,511**
	5.1) Outflows related to derivative exposures and other collateral requirements	**326,408**	**326,408**	**428,674**	**428,674**
	5.2) Outflows related to loss of funding on debt products	-	-	-	-
	5.3) Credit and Liquidity facilities	**72,545,913**	**7,254,591**	**61,088,366**	**6,108,837**
6	Other contractual funding obligations	**131,805,118**	**131,805,118**	**46,648,394**	**46,648,394**
7	Other contingent funding obligations	**1,672,700,628**	**19,874,784**	**1,165,934,031**	**16,968,591**
8	**Total Cash Outflows**		**690,177,041**		**465,125,432**
	Cash Inflows				
9	Secured lending	**13,602,523**	**13,602,523**	**2,089,653**	**2,089,653**
10	Inflows from fully performing exposures	**59,418,744**	**29,709,372**	**57,118,645**	**28,559,323**
11	Other Cash inflows	**20,379,623**	**7,282,161**	**14,999,035**	**1,259,060**
12	**Total Cash Inflows**	**93,400,890**	**50,594,057**	**74,207,334**	**31,908,036**
21	**Total HQLA**		**2,007,784,674**		**1,320,749,145**
22	**Total Net Cash Outflows**		**639,582,984**		**433,217,397**
23	**Liquidity Coverage Ratio**		**314%**		**305%**

1 unweighted values must be calculated as outstanding balances maturing or callable within 30 days (for inflows and outflows).
2 Weighted values must be calculated after the application of respective haircuts (for HQLA) or inflow and outflow rates (for inflows and outflows).
3 Adjusted values must be calculated after the application of both (i) haircuts and inflow and outflow rates and (ii) any applicable caps (i.e. cap on level 2B and level 2 assets for HQLA and cap on inflows.

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4 NET STABLE FUNDING RATIO

The objective of Net Stable Funding Ratio (NSFR) is to reduce funding risk over a longer time horizon by requiring banks to fund their activities with sufficiently stable sources of funding in order to mitigate the risk of future funding stress.

		2025 unweighted value by residual maturity				weighted value
		No Maturity	< 6 months	6 months to < 1 yr	≥ 1 yr	
		----------(Rupees in '000)----------				
Available Stable Funding (ASF)						
1	Capital:					
2	Regulatory capital	264,877,013				264,877,013
3	Other capital instruments	7,000,000			9,900,000	16,900,000
4	Retail deposits and deposit from small business customers:					
5	Stable deposits	848,656,444	54,345,181	17,931,935		874,886,882
6	Less stable deposits	1,682,846,627	109,282,312	36,059,191		1,645,369,317
7	Wholesale funding:					
8	Operational deposits					
9	Other wholesale funding	490,424,489	23,119,340	17,396,088		253,910,288
10	Other liabilities:					
11	NSFR derivative liabilities				685,420	
12	All other liabilities and equity not included in other categories		1,136,624,364	413,624	114,692,336	114,899,148
13	**Total ASF**					**3,170,842,648**
Required Stable Funding (RSF)						
14	Total NSFR high-quality liquid assets (HQLA)	xxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxx				9,880,145
15	Deposits held at other financial institutions for operational purposes	15,388,174				7,694,087
16	Performing loans and securities:	-	297,647,432	47,692,169	332,242,669	493,586,409
17	Performing loans to financial institutions secured by Level 1 HQLA		12,325,225	2,300,000		2,998,784
18	Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financail institutions					
19	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:		124,885,306	19,868,117	139,076,818	241,255,705
20	With a risk weight of less than or equal to 35% under the Basel II Standardised Approach for credit risk		160,436,901	25,524,052	178,668,367	237,009,058
21	Securities that are not in default and do not qualify as HQLA including exchange-traded equities.				14,497,484	12,322,862
22	**Other assets:**		-	1,224,053,776	417,231,368	1,029,431,377
23	Physical traded commodities, including gold					-
24	Assets posted as initial margin for derivative contracts					
25	NSFR derivative assets				787,009	787,009
26	NSFR derivative liabilities before deduction of variation margin posted				-	-
27	All other assets not included in the above categories			1,224,053,776	416,444,359	1,028,644,368
28	**Off-balance sheet items**				1,455,469,681	72,773,484
29	**Total RSF**					**1,613,365,501**
30	**Net Stable Funding Ratio (%)**					**197%**

		2024 unweighted value by residual maturity				weighted value
		No Maturity	< 6 months	6 months to < 1 yr	≥ 1 yr	
		----------(Rupees in '000)----------				
Available Stable Funding (ASF)						
1	Capital:					
2	Regulatory capital	224,843,100				224,843,100
3	Other capital instruments	7,000,000			13,990,000	20,990,000
4	Retail deposits and deposit from small business customers:					
5	Stable deposits	716,873,087	25,910,840	17,647,535		722,409,889
6	Less stable deposits	1,344,217,943	49,572,983	33,763,511		1,284,798,993
7	Wholesale funding:					
8	Operational deposits					
9	Other wholesale funding	343,468,225	10,830,203	21,425,309		187,861,869
10	Other liabilities:					
11	NSFR derivative liabilities				685,420	
12	All other liabilities and equity not included in other categories		935,123,396	3,552,834	129,365,753	131,142,169
13	**Total ASF**					**2,572,046,020**
Required Stable Funding (RSF)						
14	Total NSFR high-quality liquid assets (HQLA)	xxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxxx				11,788,699
15	Deposits held at other financial institutions for operational purposes	13,144,734				6,572,367
16	Performing loans and securities:	-	209,575,249	68,305,816	267,501,575	403,493,942
17	Performing loans to financial institutions secured by Level 1 HQLA			34,964,299		17,482,149
18	Performing loans to financial institutions secured by non-Level 1 HQLA and unsecured performing loans to financail institutions					
19	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSEs, of which:		104,318,894	16,596,188	116,173,314	201,525,136
20	With a risk weight of less than or equal to 35% under the Basel II Standardised Approach for credit risk		105,256,355	16,745,329	117,217,305	155,492,343
21	Securities that are not in default and do not qualify as HQLA including exchange-traded equities.				34,110,957	28,994,313
22	**Other assets:**	-	-	1,289,001,032	306,561,301	951,130,359
23	Physical traded commodities, including gold	-				-
24	Assets posted as initial margin for derivative contracts				-	-
25	NSFR derivative assets				-	-
26	NSFR derivative liabilities before deduction of variation margin posted					-
27	All other assets not included in the above categories			1,289,001,032	306,561,301	951,130,359
28	**Off-balance sheet items**				1,609,796,379	80,489,819
29	**Total RSF**					**1,453,475,186**
30	**Net Stable Funding Ratio (%)**					**177%**